

Australian net overseas migration, jobs, growth and higher education - Labor, Coalition and One Nation settings compared - Model Interpretation Brief

What the model is for, what to believe, and what it tells us

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Forward view only, three election cycles to the end of May 2034

The question the model answers

What does each party's migration setting - Labor's September 2026 package, the Coalition's one-person-per-dwelling rule and One Nation's net-negative rule - actually do to net overseas migration, temporary visa holders and the bridging queue; through them to unemployment, skills shortages and growth in GDP per person; and through the international education sector to each provider type's commencements and allocation use and to three archetype providers, from today to the end of May 2034 (three federal election cycles)?

And which of the stated ambitions can migration settings reach at all? The horizon is set to three full federal terms (elections due in May 2028, May 2031 and May 2034), the cycle over which governments make these decisions and are judged on them.

Complex systems behave according to a combination of one or more standard behaviour patterns known as 'archetypes'. It is the interplay of these that makes situations and decisions complex. The archetypes identified in this model are:

- **Limits to growth.** A growth engine eventually meets a brake that has been quietly tightening. Here the study-to-stay pipeline grows the temporary population until housing pressure, public pressure, the fixed number of permanent places and the departures of earlier cohorts slow it; in the economy a larger population raises demand until unemployment and weaker job prospects push back; and in the education sector private providers' network-driven growth runs into targeted scrutiny of their source markets and, if demand recovers, the allocation throttles.
- **Shifting the burden.** A quick fix relieves the symptom and slowly weakens the system's ability to address the cause. Here cutting intake is the quick fix for housing pressure while building is the slow one; skilled migration is the quick fix for skills shortages while domestic training is the slow one; and onshore transfers down the price ladder are a private

provider's quick fix for an offshore shortfall, where the slow fix is recruiting in markets that pass the genuine-student test. The upward-only rule removes most of that quick fix.

- **Fixes that fail.** The fix solves the problem now and creates a worse version of it later. Here tightening migration to ease housing also starves construction of workers; raising intake to ease shortages also raises the demand for labour that recreates part of the shortage; and cutting student numbers cuts the tuition income that feeds the sector's pressure to ease the settings again.
- **Growth and underinvestment.** Capacity is not built in time, performance softens, and the case for investment evaporates. Here, decision, tribunal and removal capacity lag the bridging queue, and a provider's larger allocation is conditional on housing it has not yet built.
- **Drifting goals (eroding goals).** When performance falls short, the goal quietly lowers to meet it. Here each party's migration number has drifted with the record, and allocations set with utilisation in view drift down to what a demand-limited provider achieved.
- **Tragedy of the commons.** Each actor's rational choice degrades the shared resource everyone depends on. Here, every temporary stream draws on the same fixed number of permanent places, and each provider type's share of the student planning level is drawn by two inflows, offshore commencements and onshore transfers, of which only the offshore one is throttled.
- **Success to the successful.** Whoever is ahead gets the resources to stay ahead. Here, allocations follow use, so a provider that fills its places earns more of them, and peer and agent networks keep sending the South Asian market to the provider types that already hold it.

Assumptions that change how you read it

- **The demand offset is full, but lagged.** New residents' spending creates jobs in step with the workers they add, after about a year. This is the assumption chosen at the outset on the evidence, and it is why a change in intake moves unemployment for a few years rather than for good. If the offset were only half as strong, unemployment under current settings would reach 7.3% at the end of May 2034 rather than 5.0%, and migration cuts would look far better for jobs than they do here.
- **Productivity is the recent trend unless you choose otherwise.** Real GDP per employed person was flat from 2018 to 2026, so the default is about 0% a year; the 2026 Intergenerational Report assumes 1.2% a year. The choice sets growth in GDP per person almost on its own: 0.21% a year at the end of May 2034 at the recent trend against 1.39% at the IGR rate. Read per-capita growth under both figures, never one.
- **Unemployment rests a little high.** Under current settings the model's unemployment rate drifts above the RBA's 4.6% full-employment estimate, to 5.0% at the end of May 2034. Compare party settings with the baseline, not with the 4.6% line.

- **Party packages are modelled as announced.** Where a party has not quantified a lever (how hard a cap cuts grants, how far refusal rates rise) the magnitude is a flagged assumption. The direction of each mechanism is firm; its size is the least certain part of each package.
- **The sector counts people, not courses.** The model follows students on a student visa; the Department of Education counts course commencements, which are higher because a student can start several courses (ELICOS and VET especially). So the levels of commencements by provider type are not validated: read the sector charts for direction and relative size, and read allocation use as the direction of travel against the MD115 thresholds, not as a point.
- **The provider archetypes are readers, not actors.** Archetypes A (a private city higher education provider), B (a mid-tier metropolitan university) and C (a domestic-focused specialist private provider) each take a share of their provider type's flows and write nothing back, so changing an archetype's fee moves that archetype only. Each was anchored well below the MD115 80% threshold in 2025, as recorded at the outset.
- **The pandemic years are shape, not size.** The model reproduces the 2018-2026 record for net overseas migration, unemployment, employment and total GDP, but carries the 2020-22 pandemic quarters only in shape and understates the 2022 peak in job vacancies. Forward comparisons from 2027 are the validated use.

What the model tells us about the dynamics

The best way to understand the dynamics at play is to interact with the model. However, some of the key dynamics findings are:

- **Most of the fall in migration is already locked in.** With no party package, reported net overseas migration falls from 301,814 today to 293,146 in the year to June 2027 and 264,914 at the end of May 2034. The cohorts that arrived in the 2022-23 surge are finishing courses and visas and leaving; departures, not policy, drive the fall.
- **Labor's package bites early, then drifts back.** It takes the year-ending figure to 227,615 in 2026-27 and 174,352 in 2027-28, below the Budget path of 245,000 and 225,000, then back up to 212,464 at the end of May 2034 as the smaller cohorts depart less, still under the 235,000 the Budget path holds to.
- **The Coalition cap chases completions.** Its ceiling is set by last year's dwelling completions, near 185,771 in 2031, and the reported figure settles just above it (187,782 against 185,990 at the end of May 2034). Holding it below 170,000 needs 0.8 persons per dwelling, not the one announced.
- **One Nation's cut is deep, short and costly for growth per person.** As announced, reported migration turns negative in one year (-12,846 in 2029-30) after 17,104 in 2028-29. Unemployment dips to 3.679% in June 2029 and shortages jump to 33.4% of occupations, because the labour force shrinks faster than demand. Growth in GDP per person falls to -0.441% a year in 2032 as demand catches up with the smaller population.

- **The unemployment benefit of a cut does not last.** At the end of May 2034, the unemployment rate is 4.7% under Labor, 5.4% under the Coalition and 5.8% under One Nation, against 5.0% at baseline. The deep cuts reverse their own early benefit: fewer arrivals lower unemployment for a year or two, then demand shrinks with the population and the rate ends above the baseline (the Coalition and One Nation). It ends below the baseline under Labor.
- **More workers mean higher unemployment at first, and a gap that narrows.** About 50% more skilled and working holiday demand lifts unemployment to 4.565% in June 2028 against 4.350% at baseline; at the end of May 2034 it reads 5.097% against 5.009%, a smaller gap as the jobs their spending creates catch up.
- **Shortages respond to training more than to migration.** About 25% more domestic entry to skilled work takes the share of occupations in shortage to 17% at the end of May 2034, against 26% at baseline; migration cuts ease shortages only by shrinking demand as well as supply.
- **Productivity, not migration, sets living standards.** No party setting moves growth in GDP per person by more than a fraction of a point by the end of the horizon; the productivity assumption moves it from 0.21% to 1.39% a year.
- **The sector is demand-limited, not cap-limited.** Under current settings allocation use (commencements against each provider type's share of the planning level) moves from 46.7% today to 39.9% at the end of May 2034 for universities and from 64.5% to 49.2% for private higher education; no provider type reaches the 80% line at which MD115 slows processing. Refusals and rule changes, not the cap, are setting the numbers.
- **Labor's package moves the sector up the price ladder.** With the upward-only rule in force, the hop from a university down to a cheaper provider falls to 94.0 a year by June 2027 against 3,631 at baseline, and private higher education's allocation use rises to 91.8% at the end of May 2034 against 49.2%. With fewer students moving onto bridging visas, scrutiny of South Asian applicants eases and their refusal rate falls to 14.0% against 51.1%; South Asia is private higher education's main market, so its places fill with new students rather than transfers.
- **The Coalition and One Nation cuts come out of the sector's income.** Tuition income from international students is \$9.448 billion a year at the end of May 2034 under current settings, \$7.467 billion under the Coalition rule and \$6.0 billion under One Nation, and the loss feeds the sector's pressure to ease the settings again.
- **Filling the planning level takes demand the market is not showing.** Filling the 295,000 places under Labor's package needs underlying student demand raised from 133,135 to 318,135 a year. It takes allocation use to 87.4% for universities and 100.0% for private higher education at the end of May 2034, keeps migration at 278,321 in 2028-29, above the Budget path's 235,000, and lowers unemployment to 3.6% while shortages rise to 43%.
- **The provider archetypes need more than the baseline gives them.** Under current settings international revenue at the end of May 2034 is 63.7%, 70.5% and 57.1% of 2025 for archetypes A, B and C; none is viable on its 2025 revenue. Labor's package lifts them to

101.8%, 87.9% and 107.9%, enough for archetype A and archetype C but not for archetype B.

- **A fee cut buys allocation use, not revenue.** Archetype A cutting its fee from \$24,000 to \$19,000 raises its allocation use to 57.6% at the end of May 2034 against 48.2%, but its revenue is 62.9% of 2025 against 63.7%: about the same, because the extra students make up the lower fee and no more.

Term by term. At the May 2028 election, reported migration stands at 288,742 under current settings and 173,245 under Labor's package; the Coalition and One Nation rules have not started. By the May 2031 election, the Coalition path is at 186,177 and One Nation's at 38,079, with unemployment at 4.601% under One Nation against 4.777% at baseline, and university allocation use at 15.5% under One Nation against 41.6%. By May 2034 the party paths have diverged on migration, on unemployment and on the sector's income.

How the ambitions are reached. The problem statement records the ambitions below. The model endpoints are read off the dashboard; the three economic ambitions and the sector's planning level each have their own preset button.

- **Budget path.** Only Labor's package, among the party settings, gets below it in 2026-27 and 2027-28 (227,615 and 174,352); it then stays under the 235,000 the Budget path holds to.
- **Coalition ceiling.** The announced rule settles at 187,782; below 170,000 needs 0.8 persons per dwelling (153,538). A dial, not a switch.
- **One Nation net negative.** As announced, it gives one negative year, not three; three need the appeals legislation, a -100,000 target and a 100,000 ceiling (-20,324 in 2028-29, -100,427 in 2029-30 and -59,733 in 2030-31).
- **Sector planning level held.** Filling the 295,000 student places requires underlying student demand to rise from 133,135 to 318,135 a year, and keeps migration at 278,321 in 2028-29, above the Budget path's 235,000. A threshold that rests on demand, not settings.
- **Full employment.** No migration setting holds unemployment at 4.6%; the structural rate itself must fall to 4.1% (unemployment then 4.5% at the end of May 2034). A threshold outside migration policy.
- **Per capita growth held.** Reached only with productivity at the IGR's 1.2% a year (1.39% a year at the end of May 2034); at the recent trend it is 0.21%.
- **Shortages eased.** Reached about 25% more domestic entry to skilled work (17% at the end of May 2034), a slow dial.
- **Sector shares held.** No preset brings both universities and private higher education to their share of the planning level. Under Labor's package, use at the end of May 2034 is 54.2% and 91.8%; filling the planning level takes it to 87.4% and 100.0%; private higher education reaches its share; universities do not. A threshold, and a demand question.
- **Provider Archetype at allocation.** Only filling the planning level brings all three archetypes to the 80% threshold (80.2%, 80.9% and 81.0% at the end of May 2034), and none reaches

its allocation; under current settings they sit at 48.2%, 48.4% and 36.4%. The utilisation rule then trims the allocation toward use, so the goal drifts down to meet the performance.

- **Provider Archetype viability.** Revenue at or above 2025 at the end of May 2034 is reached for archetype A under Budget path: Labor package, Sector: planning level filled and Sector: upward-only rule, strict reading; archetype B under Sector: planning level filled; archetype C under Budget path: Labor package, Sector: planning level filled and Sector: upward-only rule, strict reading. Under Labor's package the three read 101.8%, 87.9% and 107.9% of 2025.

The strategies at a glance

Every preset, two tables. These are scenarios, not forecasts. Each row is a dashboard preset; the figures are the tiles at the end of May 2034, exactly as the dashboard shows them. The first table is migration and the economy, the second the sector.

Strategy	What it changes	NOM, year ending	Unemployment	GDP per person growth	Occupations in shortage
Current settings	Nothing - every lever at baseline	264,914	5.0%	0.21%	26%
Budget path: Labor package	Labor package on	212,464	4.7%	0.34%	25%
Coalition rule as announced	Coalition housing rule on (1 person per dwelling)	187,782	5.4%	0.08%	21%
Coalition below 170,000	Coalition housing rule on, 0.8 people per dwelling	153,538	5.4%	0.02%	19%
One Nation as announced	One Nation package on	143,106	5.8%	0.12%	16%
One Nation: three years net negative	One Nation package and legislation on; target - 100,000; ceiling 100,000	138,430	6.0%	0.19%	14%
Sector: planning level filled	Labor package on; underlying student demand raised from 133,135 to 318,135 a year	246,125	3.6%	0.32%	43%
Sector: upward-only rule, strict reading	Labor package on; upward-only rule read strictly (every move down the ladder stopped)	212,410	4.7%	0.34%	25%
Sector: wider price ladder	University international fee \$40,000 -> \$48,000 a year	265,694	5.0%	0.21%	26%
Archetype A: fee cut	Archetype A fee \$24,000 -> \$19,000 a year	264,914	5.0%	0.21%	26%
Ambition: per-capita growth 1.1% (IGR productivity)	Productivity growth from the recent trend to the	264,231	5.0%	1.39%	26%

	IGR's 1.2% a year				
Worker intake +50%	Underlying skilled temporary and working holiday demand about 50% higher	272,986	5.1%	0.15%	26%
Sensitivity: demand follows population	Demand offset 1 -> 0 (an assumption test, not a policy)	257,136	9.6%	-0.03%	8%
Ambition: full employment (4.6%)	Structural unemployment rate 0.046 -> 0.041	266,010	4.5%	0.21%	30%
Ambition: shortages eased to 19%	Domestic entry to skilled work about 25% higher	264,437	5.0%	0.20%	17%

Strategy	Student visa holders	University allocation use	Private higher education allocation use	Archetype B revenue against 2025
Current settings	403,481	40%	49%	70%
Budget path: Labor package	429,334	54%	92%	88%
Coalition rule as announced	334,615	29%	50%	53%
Coalition below 170,000	304,541	24%	46%	46%
One Nation as announced	264,481	25%	43%	43%
One Nation: three years net negative	245,526	24%	41%	40%
Sector: planning level filled	663,601	87%	100%	135%
Sector: upward-only rule, strict reading	428,987	54%	91%	88%
Sector: wider price ladder	404,124	40%	49%	70%
Archetype A: fee cut	403,481	40%	49%	70%
Ambition: per-capita growth 1.1% (IGR productivity)	402,645	40%	49%	70%
Worker intake +50%	368,349	35%	43%	64%
Sensitivity: demand follows	400,288	40%	50%	70%

population				
Ambition: full employment (4.6%)	403,135	40%	49%	70%
Ambition: shortages eased to 19%	403,405	40%	49%	70%

Reading the pattern: the party packages trade migration for a few years of lower unemployment and higher shortages, and the Coalition and One Nation cuts take the sector's income with them; only productivity moves living standards, only training eases shortages without shrinking the economy, and only more demand, not a rule change, fills the sector's places.